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Droit des affaires

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ASSESSMENT Examen oral (exposé en groupe) : 40 %. Examen final : QCM pendant la dernière séance, 60 %, sur les slides harmonisées. Participation : jusqu'à +2 points, sans malus.

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01 S1 · Business and the law (7 Oct.)

The role of law in business

- **Governance**: defined by company law (powers of directors and shareholders).
- **Commercial contracts**: their validity and effectiveness depend on the applicable law and on market practice.
- **Civil and criminal liability**: legal and reputational risk, potentially very costly.
- Also: intellectual property, tax, employment and environmental law, insurance, consumer protection.

Types of legal norms

- **Supranational law**: conventions and treaties; **EU law** is central (regulations apply directly, directives must be transposed).
- "International law" usually means **conflict-of-laws rules**: which national law applies to an international situation? There are few substantive international rules.
- **National law**: by far the most important; even international transactions are governed by a national law.
- **Contracts**: freedom of the parties, subject to mandatory (public policy) rules. Other norms: soft law (reputational sanction), internal regulations, charters.

> `Hierarchy: Constitution and international law > national law > contracts`

Distinction	Meaning	Why it matters
Default rules / **mandatory** rules (ordre public)	Can be changed by contract / cannot	Governance: many mandatory rules in France, fewer in the US and the UK
Principles / **technical rules**	Good faith, loyalty / majority rules, procedures	Principles = more legal uncertainty (interpretation) but less circumvention

The meaning of a rule depends on its **interpretation**; judges and authorities have strong guarantees of impartiality but remain human (incentives, biases).

Legal systems

Civil law tradition	Common law
Continental Europe, China	United States, United Kingdom, many English-speaking countries
Written rules, (theoretically) limited role of the judge	"Creative" role of courts: rules come from case law

The distinction is often exaggerated: judges matter a lot in civil law countries, statutes increasingly matter in common law; mixed systems exist (Japan, Quebec, Hong Kong); other traditions too (Islamic law).

The French court system

- **Tribunal judiciaire** (judicial court): "default" jurisdiction; career judges with strong legal training, not very familiar with business.
- **Tribunal de commerce** (commercial court): disputes between traders and commercial companies; unpaid elected judges from the business world.
- Appeal to the **Cour d'appel** (rehears the merits), then to the **Cour de cassation** (checks the application of the law, does not judge facts; only one, in Paris).
- Others: conseil de prud'hommes (employment), administrative courts (tribunal administratif, administrative court of appeal, Conseil d'État), criminal courts (tribunal de police for petty offences, tribunal correctionnel for misdemeanours, cour d'assises or cour criminelle for felonies), CJEU, Conseil constitutionnel. Administrative authorities: AMF (financial markets regulator: savers, listed companies).

Contracts and liability

- **Contract**: an agreement intended to create legal effects, binding on the parties (not on third parties). Examples: **mandate** (directors are "mandataires sociaux", corporate officers acting on the company's behalf), commercial contracts, financing contracts (loans, guarantees, security interests), **articles of association** (statuts, a kind of contract on governance), **shareholders' agreement** (supplements the articles). Breach → contractual liability.
- **Non-contractual liability**: criminal offences (petty offences, misdemeanours, felonies), torts (an act or omission causing harm), administrative breaches (sanctioned by an authority, e.g. the AMF). Stock market or environmental breaches can be very severely sanctioned.

Legal professionals

- **Lawyer** (avocat: self-employed, independent, ad hoc work, represents clients in court) vs **in-house counsel** (juriste d'entreprise: employee, strategic and integrated role).
- **Sitting** judges (siège: decide cases, strong guarantees of independence) vs **prosecutors** (parquet: bring criminal proceedings).
- **Arbitration**: private dispute resolution recognised by courts, mainly for high-stakes international disputes.
- Research: statutes and decisions online (Légifrance); AI is useful provided you check the sources; paid legal databases (Dalloz, Lexis360, Lextenso, Lamy).

02 S2 · Creating and structuring a business (14 Oct.)

Two parts: the harmonised slides (the only ones tested in the final MCQ) and a focus on business taxation ("Corporate tax primer", in English).

Company and business

- The business (entreprise) is an **economic** notion and a social and material reality (people, premises, flows).
- Legally it rests either on a **dedicated entity** (company, association, public body…) or on the **entrepreneur(s)** personally (sole trader, freelancer).
- The legal subject, active (contracts, acquires, sues) or passive (owes debts and obligations), is usually the **legal entity** (personne morale), not "the business".
- Some branches nevertheless target the business itself: employment law ("head of the business"), competition law, insolvency law, tax law.

Legal organisation of businesses

Form	Key points
With legal personality	Own legal existence, independent of founders, shareholders and managers; creating a business means first forming a legal entity; it has its own assets and liabilities, shown on the balance sheet
Without legal personality	Freelance entrepreneurs, possibly bound by contracts; stronger protection of personal assets (EIRL, new EI status); the law recognises the **business goodwill** (fonds de commerce, artisanal, libéral), which can be sold
Groups and networks	Several legal entities linked by shareholdings: a parent company (a **holding** if its only purpose is to hold shares) controls **subsidiaries**, which have legal personality, unlike **branches** (succursales); contractual networks leave the parties legally independent

Why form a company?

- To create or take over a business: capital-based (SA, SE, SCA…), multi-person (SCP, SEL…), partnership (SEP, JV…).
- To manage assets: holding or portfolio company (SCI, funds…), collective assets (SICAV…), ring-fencing assets in structures (patents, collateral).
- To optimise: concealment ("shell company"), separation and protection of assets (liability limited to contributions), tax optimisation, which faces growing resistance.

Types of businesses and their purposes

- Without legal personality: sole trader, EIRL (being phased out), société en participation.
- With legal personality: public companies (EPIC, SEM, state-controlled SA), social economy (associations, foundations, cooperatives, mutuals), capitalist sector (commercial companies), GIE.
- Purposes: **profit** characterises companies; associations and foundations pursue other aims (members cannot receive profits); public companies implement public policies; mutuals and cooperatives serve their members.
- Entrepreneurs must choose the form that fits their project.

A broader corporate purpose (PACTE Act, 2019)

- Inspired by US B-corps, the "company with an extended corporate purpose" and the Notat-Senard report (2018).
- **Article 1833 Civil Code**: every company must have a lawful purpose and be formed in the common interest of its members; it is managed in its **corporate interest**, taking into account the social and environmental issues of its activity.
- **Article 1835**: the articles may state a **raison d'être**, principles for which the company commits resources.

- **Article L. 210-10 Commercial Code**, the **société à mission**: (1) raison d'être in the articles, (2) social and environmental objectives, (3) arrangements to monitor the mission, (4) verification by an independent third party. Implications still uncertain.

Types of companies

Civil companies	Commercial partnerships	Commercial capital companies
SCI, SCP, SCM...	SNC, SCS	SARL, SAS, SA (+ SCA, SE), listed or not

Forming a company: the procedure

Idea and discussions → promises → drafting the articles → making the contributions → publicity formalities → filing with the **one-stop shop** (guichet unique) → **registration with the RCS**. The project (non-contractual liability) becomes a contract (contract law, regime of companies being formed), then a legal person (law of registered companies).

Conditions and precautions

- Conditions common to all contracts (consent...) and specific to companies: **contributions**, sharing in **profits and losses**, **affectio societatis**; single-member companies (EURL, SASU).
- Lawful purpose, both stated and actual: an illegal activity cannot be a company's purpose.
- Choose the structure according to the number of partners, minimum capital, liability of shareholders and managers, financing, the manager's status.
- Protect intellectual property (patents, trademarks, copyright), anticipate personal liability in case of insolvency and the applicable tax regime; available aid also depends on the form (an association can apply for public grants).

Organising a company legally: the SE example

- Sources: Regulation (EC) No 2157/2001, art. L. 229-1 Commercial Code, by reference SA law (art. L. 225-1 ff.), general company law (art. 1832 ff. Civil Code), the articles, additional texts (internal rules).
- Hierarchy of norms: constitution > statute > regulation; primacy of EU law; **cross-reference technique**; special rule prevails over general rule; unwritten sources (case law, doctrine).
- Freedom to organise: choose the applicable company law by place of incorporation (and stock market law by place of listing), derogate from default rules, add soft law, internal rules or a **shareholders' agreement**; the framework evolves over time.

Focus: business taxation (corporate tax primer)

- Tax funds public resources and the business environment that benefit those with a territorial connection to a jurisdiction (**nexus**); it is not consideration for a service; it also serves industrial and behavioural policy ("sin taxes", financial transactions tax).
- Tax base: from profits or capital gains (**corporate income tax**, CIT) to revenue (VAT); proportional (VAT) or progressive (personal income tax) rates; fixed fees (stamp duties).
- Choosing the most favourable tax treatment is allowed: **CJEU, Halifax, 21 February 2006**. Location is a key lever, but goals can also be deferring tax or securing **tax certainty**.
- Since 2008: the OECD **BEPS** programme against tax avoidance, information exchange, EU directives, tighter audits (economic substance, value creation, intra-group financing). Tax has become a boardroom issue touching every decision (strategy, organisation, compliance, accounting, transfer pricing...).
- Taxable income generally follows accounting income, but any net asset increase is taxable (asset received for free, debt waived). The administration adds back expenses not in the company's interest or excessive (**Conseil d'État, 11 February 2011, Mazda**: EUR 523k of client trips disallowed) and income waived without consideration ("abnormal management act").
- Firms prefer expensing to capitalising (immediate deduction); interest erodes the base, hence **thin-capitalisation** and debt-pricing rules.

- Legal forms: **sole proprietorship** taxed under personal income tax (up to 45% + 17.2% social contributions, vs 25% CIT); **partnerships** are tax-transparent (partners pay; attractive for investment funds); **corporations** pay CIT, then dividends are taxed at shareholder level (double taxation), eased by the intra-group dividend exemption (in France: more than 5% held for more than 2 years).
- **SCI** example: electing for CIT suits very profitable commercial property; keep personal income tax for low-rent assets with high expected gains.
- **Tax groups** (more than 95% ownership in France): profits and losses offset within the group; central to LBOs (acquisition holding's interest offsets the operating company's profits).